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# What €1M on LinkedIn Ads *taught us*

12 lessons on why LinkedIn charges you more than it should, and what to do about it.

## — WHY THIS EXISTS

# LinkedIn will spend your whole budget. *That isn't the same as reaching people.*

Most LinkedIn advice treats it like Meta with job titles. It isn't, and the difference is expensive.

LinkedIn prices delivery its own way. Small audiences, fragmented accounts and tired creative all push your CPM up, while your budget keeps getting spent as if nothing happened. The platform won't flag it. Campaign Manager will show a campaign pacing on schedule with a steady CTR. You find the problem in the delivery data, or you don't find it at all.

These are the lessons that held up after €1M of spend, in four pillars.

## 01

### Audience size drives your costs

How targeting, budget and creative lifespan all come back to how many people you're trying to reach.

## 02

### What LinkedIn is for

Why it's a reach channel, why its conversion numbers flatter it, and why you don't need bottom-of-funnel ads.

## 03

### What earns attention in the feed

One format that earns attention, and one that turns it into a lead.

## 04

### Work with the algorithm

How LinkedIn's delivery system learns, and the changes that quietly reset it.

# 01

## Audience size *drives your costs*

Five lessons that build on each other. Targeting decides how big your audience is. Size decides how much you can usefully spend and how long your creative lasts. CPM tells you when you've hit the limit.

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- 01 A (“perfect”) audience is too expensive to reach
  - 02 Your audience size sets your budget, not the other way round
  - 03 Audience size decides how long your ads last
  - 04 A CPM spike means your ad has run out of people
  - 05 More ad sets on one audience raise the price for all of them
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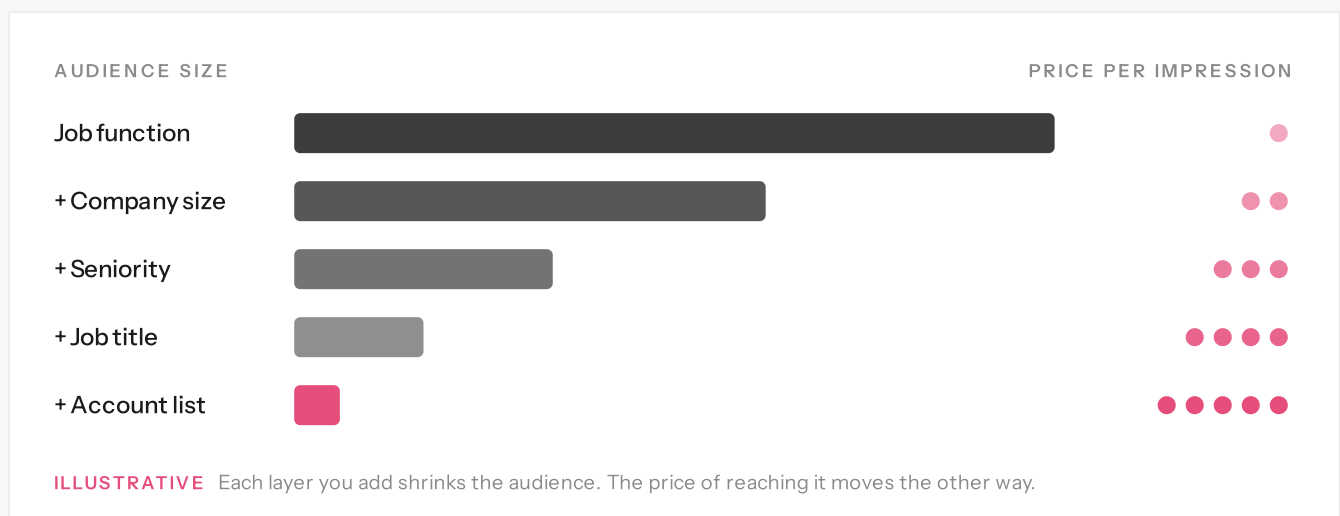
# 01

## A (“perfect”) audience is *too expensive to reach*

Every targeting layer shrinks the pool and raises the price of every impression inside it.

Account list *and* job title *and* seniority *and* company size feels precise. To LinkedIn’s auction, it’s a small pool that every advertiser in your category is also bidding on. A “top of funnel” campaign built on an account list isn’t prospecting. It’s retargeting, and it gets priced like retargeting.

The answer isn’t Meta-style broad targeting either. Audience Expansion and the Audience Network both drift away from your buyer. The right audience is wide enough to deliver and tight enough to stay relevant: job function plus company size, then stop.



### SIGNS YOU’RE DOING THIS

- A “prospecting” audience small enough to list in a spreadsheet
- Account lists combined with AND logic on titles and seniority

### DO THIS INSTEAD

- Define the audience by job function and company size
- Use account lists to measure engagement, not to drive conversions

### RULE OF THUMB

If you can name most of the companies in your prospecting audience, it’s a retargeting audience.

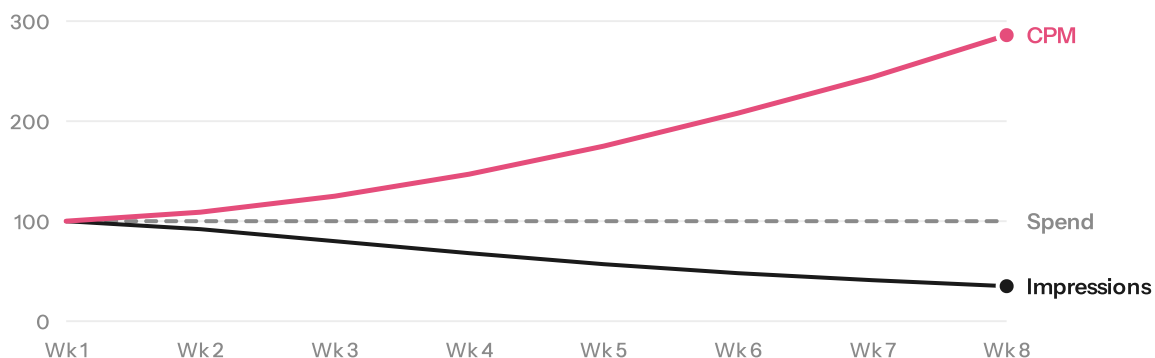
# 02

## Your audience size sets your budget, *not the other way round*

Past a certain spend, LinkedIn doesn't find new people. It charges you more for the ones you already reach.

Unless you've set a bid cap, LinkedIn will spend your full daily budget whether or not there's anyone new to show the ad to. When the pool runs dry, it serves fewer impressions at a higher price to hit the number you gave it.

In Campaign Manager this looks healthy: budget spent, CTR steady. The only sign is in delivery, with impressions falling and CPM rising while spend stays flat.



**ILLUSTRATIVE** Indexed to week 1 = 100. Same budget every week; fewer impressions, each one more expensive.

### SIGNS YOU'RE DOING THIS

- Spend flat, impressions down, CPM up
- CTR holding steady, so the ad isn't the problem. The pool is used up.

### DO THIS INSTEAD

- Budget for 3–4 impressions per person per week, then stop adding money
- To spend more, widen the audience rather than raising the budget

### RULE OF THUMB

Underpacing on a small audience isn't a problem to fix. It's the platform telling you the truth.

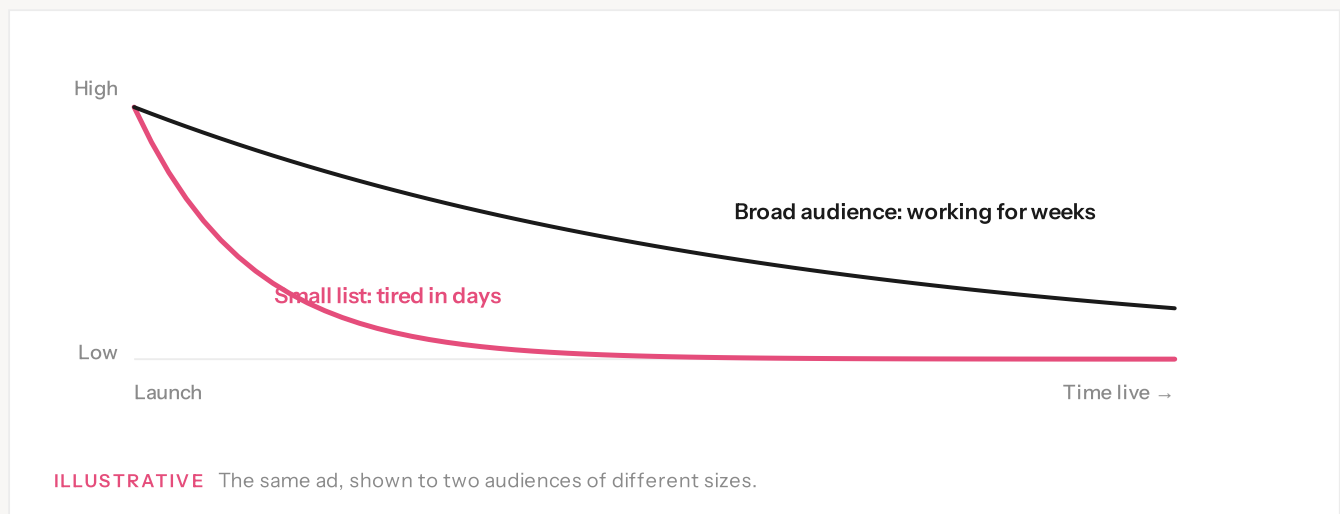
# 03

## Audience size decides *how long your ads last*

Creative doesn't wear out on a schedule. It wears out at the rate your audience sees it.

A small list sees the same ad again and again, so it tires in days. A broad audience can keep the same ad working for weeks. Same creative, different shelf life.

So the narrower you target, the bigger the creative pipeline you need, and you have to plan it before launch. By the time CTR tells you an ad is tired, CPM has usually been telling you for a while.



### SIGNS YOU'RE DOING THIS

- Weekly frequency above ~3 on the same ad
- Your launch-week winner becoming your worst ad

### DO THIS INSTEAD

- Small lists: launch 8-10 variants, rotate every 5-7 days
- Broad audiences: review creative from week 4

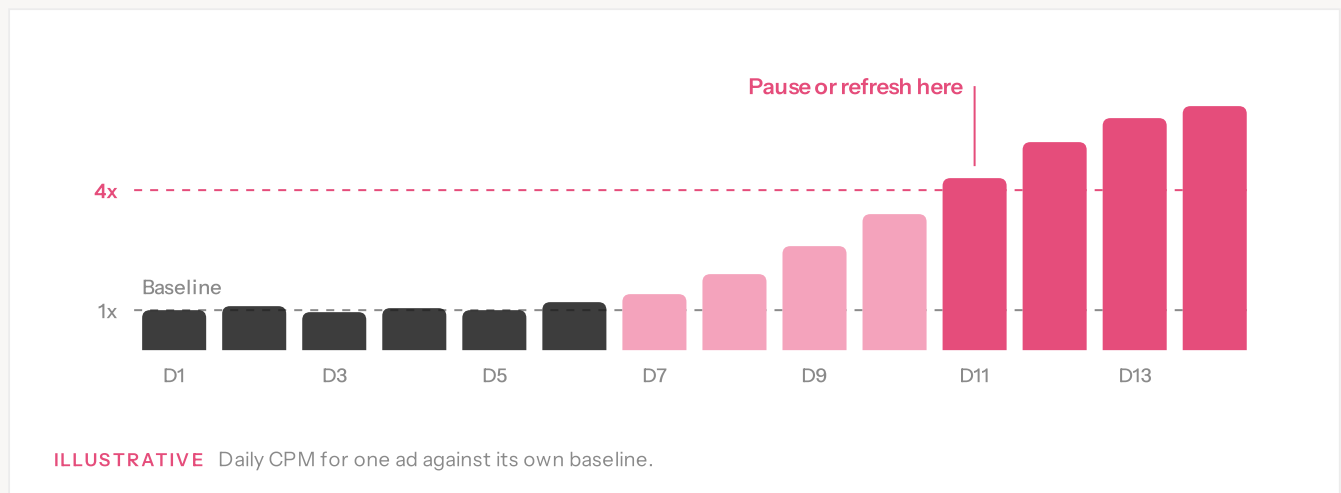
**RULE OF THUMB** The smaller the audience, the more creative it eats.

# 04

## A CPM spike means your ad has *run out of people*

Check CPM daily, ad by ad. A jump to 4x its own baseline means the audience is exhausted.

When an ad runs out of new people, LinkedIn serves it less often. If you're not bid-capped, it still spends your full budget, and the only way to do both is to charge more per impression. That's the spike. It rarely corrects itself, so pause or refresh the ad the same day.



### READING A CPM RISE

| CPM               | ALSO SEEING                    | MOST LIKELY CAUSE           |
|-------------------|--------------------------------|-----------------------------|
| Rising            | CTR falling                    | Creative fatigue            |
| Rising            | CTR flat                       | Your ad sets competing (05) |
| Rising            | Frequency up, impressions down | Audience used up            |
| High from day one | Frequency around 1             | Audience too small to reach |

#### RULE OF THUMB

4x baseline CPM means the ad is done. Act the same day.

*“LinkedIn will spend your whole budget and restrict your reach if you try to hit a small pool of people with the same creative. It will effectively stop serving, and still charge you.”*

MICHAEL · FOUNDER, WONDERLAND

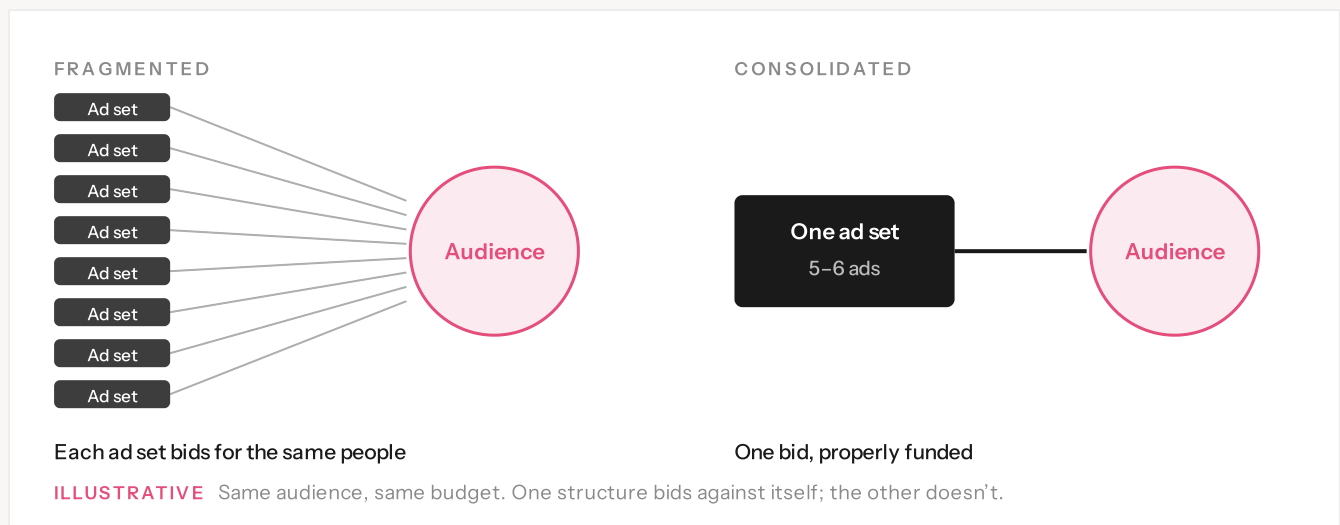
# 05

## More ad sets on one audience *raise the price for all of them*

Ad sets that target the same people enter the same auction. You end up bidding against yourself.

It happens gradually. Every new offer, market version or test gets its own small ad set, until a dozen of them sit on minimum budgets, all aimed at the same retargeting pool. Each one pushes up the price for the others.

The giveaway is CPM climbing while CTR holds. There's nothing wrong with the ads. The account is competing with itself.



### SIGNS YOU'RE DOING THIS

- Many ad sets sitting on LinkedIn's minimum daily budget
- Near-identical versions of one ad split across campaigns

### DO THIS INSTEAD

- Fewer ad sets, properly funded, with 5-6 ads each
- Split a campaign out only when its goal is genuinely different

### RULE OF THUMB

One audience, one objective, one campaign.

# 02

## What LinkedIn *is for*

Judge LinkedIn like a performance channel and it will always disappoint you, even while its own reporting says otherwise.

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06 LinkedIn is a reach channel, not a demo machine

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07 You don't need bottom-of-funnel ads on LinkedIn

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# 06

## LinkedIn is a reach channel, *not a demo machine*

Most of the conversions LinkedIn reports come from people who never clicked.

A view-through conversion means someone saw an ad, didn't click, and converted later through another route. They make up the bulk of what LinkedIn reports, and with long attribution windows it will credit campaigns that were already paused.

Judge LinkedIn on cost per demo and it will always look expensive. Judge it on its own conversion column and it will look better than it is. Neither shows what it's good at: putting you in front of the right people, repeatedly, before they're in market.

### REPORTED CONVERSIONS

View-through: saw an ad, never clicked

Credited to LinkedIn, but influenced by everything else too

Post-click

**ILLUSTRATIVE** What sits behind a typical LinkedIn conversion count.

### SIGNS YOU'RE DOING THIS

- Paused campaigns still “converting”
- A long list of tracked conversion events, from video views to downloads

### DO THIS INSTEAD

- Report post-click and view-through conversions separately
- Track 2-3 conversion events, and measure reach within your ideal buyers

**RULE OF THUMB** If nobody clicked, treat the conversion as a hypothesis, not a result.

# 07

## You don't need *bottom-of-funnel ads* on LinkedIn

Expecting to use LinkedIn like Meta is the most expensive mistake in this guide.

Meta can take broad targeting and a conversion goal and find the buyers. LinkedIn can't, not at the audience sizes B2B works with. Pushing demo-request ads to a narrow audience combines every problem in pillar one.

What works is a steady mix of two kinds of content, shown to an audience of your ideal buyers that's wide enough to sustain it. Sales closes the demo. LinkedIn makes sure the buyer already knows your name.

### — ALWAYS ON

#### *Evergreen*

Benchmarks, guides, tools and templates people keep coming back to. It runs all year and gives people a reason to remember you.

### — IN BURSTS

#### *Seasonal*

Timely reasons to care: regulation changes, budget and planning cycles, industry moments. Short bursts that make you relevant right now.



**ILLUSTRATIVE** An evergreen baseline, with seasonal content layered on top.

### RULE OF THUMB

Offer something worth having. Nobody books a demo from the feed.

# 03

## What earns attention *in the feed*

Once you stop asking LinkedIn for demos, the question becomes what to show people. Two formats consistently get more attention for the money.

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08 People beat logos

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09 In retargeting, content behind a lead gen form is the cheaper lead

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# 08

## People beat logos

LinkedIn is a feed of people. Ads from people fit in. Ads from a company page look like ads.

Thought Leader ads, which are sponsored posts from real people at your company, get more engagement and cheaper delivery than the same message from a brand page. They also last longer: on a broad top-of-funnel audience, a strong post can keep working for months.

Longer isn't forever. They wear out like any other creative; it just takes more time. Watch their CPM the same way (lesson 04) and refresh when it spikes.



**Your Company**  
Promoted

\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_

Reads like an ad



**A real person**  
VP Marketing · 2nd

\_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_

Reads like the feed

**ILLUSTRATIVE** Same message, two messengers.

|                                                                                                                                                                                                                       |                                                                                                                                                                                                              |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>SIGNS YOU'RE DOING THIS</b></p> <ul style="list-style-type: none"> <li>— The whole budget behind company-page posts</li> <li>— Thought Leader posts left running for months with nobody checking CPM</li> </ul> | <p><b>DO THIS INSTEAD</b></p> <ul style="list-style-type: none"> <li>— Build a small group of people whose posts you can sponsor</li> <li>— Promote posts that are already performing organically</li> </ul> |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

**RULE OF THUMB** Put spend behind people, not the page. Then refresh them like everything else.

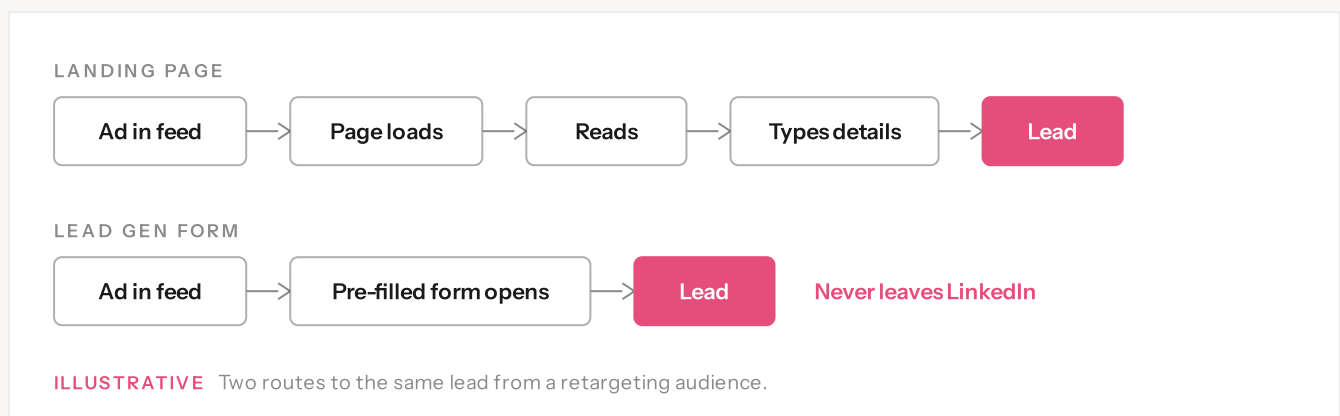
# 09

## In retargeting, content behind a lead gen form is *the cheaper lead*

When someone already knows you, a useful piece of content and a pre-filled form beats sending them to a landing page.

Retargeting is where most B2B accounts put their demo ads and their landing pages. It's also where the lead gen form does its best work. The audience has seen you before, the form opens in the feed with their details already filled in, and the exchange is fair: a guide, a benchmark or a template for an email address.

The same audience sent to a landing page has to load the page, read it and type. Across a year, our lead-form ad sets produced the identifiable leads while website-conversion ad sets on the same audiences spent several times more for almost none. The offer matters as much as the form: content converts, demo requests don't.



### SIGNS YOU'RE DOING THIS

- Retargeting budget going to “book a demo” landing pages
- Form opens with no completions. That's a form problem, not a media problem.

### DO THIS INSTEAD

- Gate content people actually want, and keep the form short
- Watch frequency on lead-form ad sets; they exhaust an audience faster than most

**RULE OF THUMB** In retargeting, trade content for contact details. Ask for the demo later.

# 04

## Work with the algorithm, *not against it*

LinkedIn's delivery system learns slowly and needs a lot of signal. Much of the wasted spend we see comes from asking it to do something it can't.

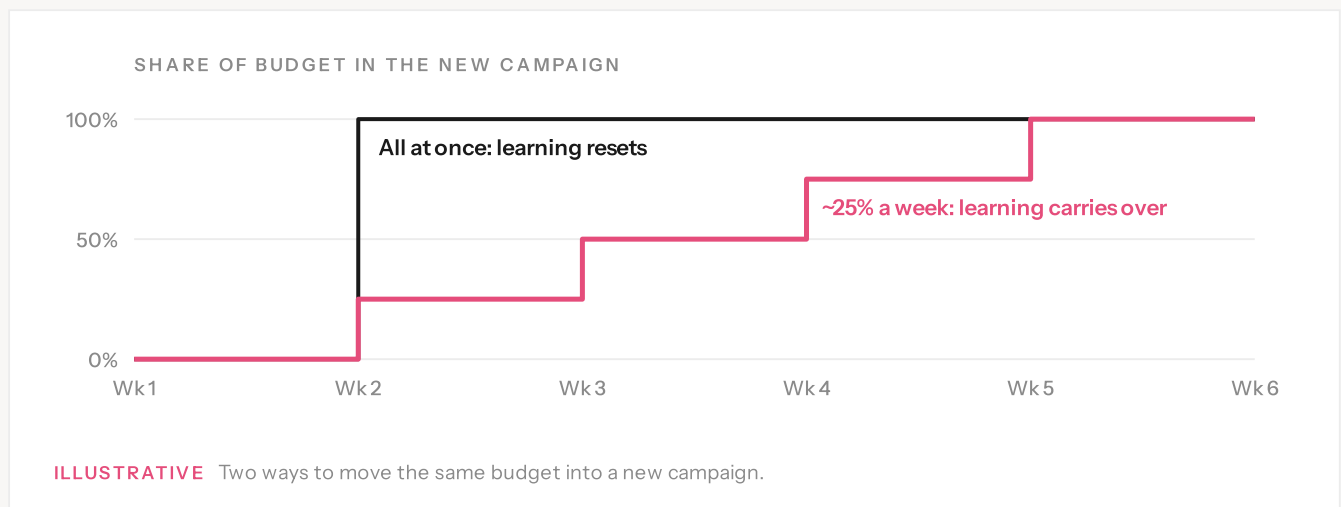
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- 10 Every big change sends you back to the learning phase
  - 11 Don't bid for conversions on campaigns shorter than the learning phase
  - 12 LinkedIn's algorithm needs more signal than a small audience can give
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# 10

## Every big change sends you *back to the learning phase*

Change everything at once and LinkedIn starts learning from scratch.

Replace all your proven ads in one go, or move a large share of budget overnight, and delivery drops while costs jump. Recovery can take one to two weeks. Most teams read the dip as “the new creative doesn’t work”, change something else, and reset it again.



### SIGNS YOU’RE DOING THIS

- A performance drop straight after a “refresh”
- Several changes made in the same week

### DO THIS INSTEAD

- Add new ads alongside the winners; retire the old ones gradually
- Move budget in steps of about 25%, a week apart

**RULE OF THUMB** Change one thing, then give it a week.

# 11

## Don't bid for conversions on campaigns *shorter than the learning phase*

A five-day burst for an event, a launch or an account-based push ends before the algorithm has learnt who converts. You pay the price of conversion bidding and never get the benefit. For bursts, bid for reach or engagement and let the timing and the message do the work.

**RULE OF THUMB** Short burst? Buy reach, not conversions.

# 12

## LinkedIn's algorithm needs *more signal than a small audience can give*

This is the other half of lesson 07. Meta can take a broad audience and find the buyers inside it. LinkedIn's algorithm isn't that sophisticated. Give it a small audience, or a small market, plus a conversion goal, and it doesn't find anyone new. It bids up the price of the few people it has, and most of the "conversions" it records are view-throughs.

Where the audience is small, optimise for reach or website visits and measure conversions separately.

**RULE OF THUMB** Small pool plus conversion bidding means paying a premium for view-throughs.

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— THE TRANSPARENT AUDIT

# Want to know what LinkedIn is *really* charging you for?

A paid media diagnostic with no incentive to flatter you.

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01

Where your CPM is inflated, and why

02

Where your account is bidding against itself

03

What your reported conversions are actually made of

[wonderland.marketing/transparent-audit](https://wonderland.marketing/transparent-audit) →